

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TZ SSE BUYER, LLC, *Complainants*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED, *Respondents*.

DOCKET NO. 24-08

Served: April 1, 2025

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

**ORDER ON JOINT MOTION FOR APPROVAL AND CONFIDENTIAL TREATMENT OF SETTLEMENT
AGREEMENT AND RELEASE**

On March 11, 2025, Complainant TZ SSE Buyer, LLC, and Respondent Overseas Container Line Limited and OOCL (Europe) Limited filed a joint motion seeking approval of a confidential settlement agreement and release (“Motion”) and a copy of the confidential settlement agreement. For the reasons set forth below, the substantive terms of the settlement agreement are approved under the modified dismissal procedure set forth herein.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)). *See also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to

compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

In this action, Complainant and Respondent state: “the Parties, both sophisticated corporate entities, with the advice and assistance of their respective counsel, arrived at the Agreement through arm’s length negotiations and support this motion and the relief that it seeks. The Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Agreement is a fair and reasonable resolution of the disputes between the Parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation.” Motion at 3. Upon review of the record and the proposed settlement agreement, the undersigned finds that the substantive terms of the settlement agreement do not appear to violate any law or policy and are free of fraud, duress, undue influence, mistake or other defects that might make it unapprovable despite the strong policy of the law encouraging approval of settlements.

However, the undersigned finds that the proposed procedure for entry of a dismissal with prejudice is deficient. In this regard, the parties request both that the settlement be approved and that the Complaint be dismissed with prejudice upon Complainant’s receipt of the settlement

proceeds, at which time Complainant will file a Notice of Motion for Dismissal of this Action with Prejudice. Motion at 3.

The parties do not cite any law or regulation supporting entry of a dismissal with prejudice pursuant to a notice filed after the settlement has been approved by the presiding officer and the settlement proceeds paid. Upon review of the applicable law and regulations, the undersigned finds that none contemplate entry of a dismissal in the proposed fashion. Rather than permitting entry of dismissal pursuant to filing a notice of motion for dismissal as the parties' request, 46 U.S.C. § 502.72(a) provides for voluntary dismissal in three other circumstances: 1) by the complainant when no settlement is involved by filing a notice of dismissal before the opposing party serves either an answer, a motion to dismiss, or a motion for summary decision; 2) by stipulation of the parties at any time without an order by the presiding officer by filing a stipulation of dismissal signed by all parties certifying that no settlement on the merits has been reached; and 3) at the complainant's request by order of the presiding officer on terms the presiding officer deems just and proper. None of these provisions are appropriate in this instance. Section 502.72(a)(1) is not applicable because the dismissal sought by the parties is pursuant to a settlement agreement and an answer has been filed by the opposing party. Section 502.72(a)(2) is not applicable because no stipulation of dismissal has been filed certifying that no settlement on the merits has been reached. Section 502.72(a)(3) is not applicable because it does not provide for dismissal pursuant to a notice of dismissal filed by a complainant but rather at the request of a complainant, which contemplates that a motion be filed.

In proceedings before the Federal Maritime Commission, dismissals pursuant to a settlement agreement are generally part of an Initial Decision approving a proposed settlement agreement, which is then reviewable by the Commission along with the terms of the settlement agreement. In order to ensure that no funds change hands prior to affording the Commission an opportunity to review the terms of the settlement agreement, parties typically escrow settlement funds pending entry of a final decision by the Commission.

For the reasons set forth above, the undersigned finds that the proposed procedure for entry of dismissal with prejudice upon Complainant filing a notice after the settlement proceeds have been paid is not appropriate. Rather, the proper procedure is for Complainant to file a motion for dismissal with prejudice pursuant to the settlement agreement approved herein after the settlement proceeds have been paid.

The parties also request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); *see also* 46 C.F.R. § 502.141(j). The Commission recently stated that it "requires more formality and clarity, including a motion explaining the need for confidential treatment" and "good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information." *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Dkt. No. 2014(I), Order Affirming Small Claims Officer's Order Approving Settlement, and Reversing Confidential Treatment, at 2 (FMC Dec. 4, 2024).

The parties state that a material term of the confidentiality agreement requires the parties to keep the terms confidential. In reliance on *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No 13-07, 2015 WL 1928868, at 7 (FMC April 14, 2015), the parties contend that granting

a request for confidentiality is appropriate where, as the case is here, parties “want to maintain confidentiality of the Confidential Settlement Agreement as it contains terms setting out the settlement amount, as well as terms governing the release of all claims related to the controversy involved and that there is no public interest in disclosure of the settlement amount or the terms of the release of the involved claims, that outweighs the parties’ interest in maintain the confidentiality of these terms, the agreement should be held confidentially.” Motion at 4-5.

The Commission routinely affords confidential treatment to settlement agreements, recognizing that they often contain sensitive commercial information, and thus should be protected from public disclosure. *See D.F. Young, Inc. v. NYK Line (North America) Inc.*, Dkt. No. 16-02, 1 F.M.C.2d 135, 136-7 (FMC May 22, 2018). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted).

The confidential settlement agreement has been reviewed by the undersigned and is available to the Commission. Given the parties’ request for confidentiality, confidential information included in the settlement agreement, and the Commission’s history of permitting agreements settling private complaints to remain confidential, the parties’ request for confidentiality of the settlement agreement is granted. The settlement agreement will be maintained in the Secretary’s confidential files.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the substantive terms of the joint motion to approve the settlement agreement between Complainant TZ SSE Buyer, LLC and Respondent Overseas Container Line limited and Overseas Container Line Limited and OOCL (Europe) Limited is **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that the request that the Complaint be dismissed with prejudice upon the filing by Complainant of a Notice of Motion for Dismissal of Action with Prejudice be **DENIED**. In accordance with 46 U.S.C. § 502.72(a)(3), Complainant shall file a motion for dismissal with prejudice pursuant to the approved settlement agreement after Complainant receives the agreed upon settlement amount.

Mary A. Hervey -S Digitally signed by Mary A. Hervey -S
Date: 2025.04.01 09:43:27 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge